



Department of Revenue

Taxation Division

RETAIL MARIJUANA TAX

1 CCR 201-18

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

Rule 39-28.8-101. Retail Marijuana Definitions.

Basis and Purpose. The bases for this rule are sections 39-21-112(1), 39-28.8-101, 39-28.8-205, and 39-28.8-308, C.R.S. The purpose of this rule is to establish definitions for terms used in 1 CCR 201-18 regarding retail marijuana sales tax and retail marijuana excise tax.

With respect to rules promulgated under Article 28.8 of Title 39, the following terms have the following meanings:

- (1) Unless the context clearly requires otherwise, terms defined by section 39-28.8-101, C.R.S., section 44-10-103, C.R.S., or in Rule 1-115 of 1 CCR 212-3 of the Marijuana Enforcement Division's rules related to the Colorado Marijuana Code, shall have the same meanings in these rules as therein defined.
- (2) "Affiliated" means being owned or controlled by the same or related interests, where "related interests" includes individuals who are related by blood or marriage or entities that are directly or indirectly controlled by an entity or individual or related individuals.
- (3) "Average Market Rate" shall have the same meaning as defined in subsection 39-28.8-101(1.5), C.R.S., and shall be calculated pursuant to Rule 39-28.8-302(5) in the following categories:
 - (a) Bud
 - (b) Trim
 - (c) Bud Allocated for Extraction
 - (d) Trim Allocated for Extraction

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- (e) Immature Plant
 - (f) Wet Whole Plant
 - (g) Seed
- (4) “Bud” shall have the same meaning as the product of the “Flowering” stage as set forth by Rule 1-115 of 1 CCR 212-3 including the actual flower.
 - (5) “Bud Allocated for Extraction” means Bud that is designated for the extraction of Retail Marijuana Concentrate and not for direct sale to consumers.
 - (6) “Immature Plant” shall have the same meaning as set forth by Rule 1-115 of 1 CCR 212-3.
 - (7) “Inventory Tracking System” shall have the same meaning as set forth by Rule 1-115 of 1 CCR 212-3.
 - (8) “Marijuana” means Medical Marijuana or Retail Marijuana.
 - (9) “Retail Marijuana” shall have the same meaning as defined in subsection 39-28.8-101(7), C.R.S.
 - (10) “Retail Marijuana Concentrate” shall have the same meaning as “Retail Marijuana Concentrate” as set forth by Rule 1-115 of 1 CCR 212-3.
 - (11) “Retail Marijuana Cultivation Facility” shall have the same meaning as defined in subsection 39-28.8-101(8), C.R.S.
 - (12) “Retail Marijuana Excise Tax” or “Excise Tax” means excise tax imposed by Part 3 of Article 28.8 of Title 39, C.R.S.
 - (13) “Retail Marijuana Excise Tax Return” means the excise tax return upon which all sales or Transfers of Retail Marijuana subject to Retail Marijuana Excise Tax and the amount of Retail Marijuana Excise Tax are reported.
 - (14) “Retail Marijuana Plant” means a plant of the genus cannabis, other than an Immature Plant, whether growing or harvested, that is cultivated by a licensed Retail Marijuana Cultivation Facility.

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- (15) “Retail Marijuana Product Manufacturing Facility” shall have the same meaning as defined in subsection 39-28.8-101(10), C.R.S.
- (16) “Retail Marijuana Sales Tax” means sales tax imposed by Part 2 of Article 28.8 of Title 39, C.R.S.
- (17) “Retail Marijuana Sales Tax Return” means the sales tax return upon which all sales of Retail Marijuana and Retail Marijuana Products and the amount of state and local Retail Marijuana Sales Tax are reported.
- (18) “Retail Sales Tax” means the sales tax imposed by Part 1 of Article 26 of Title 39, C.R.S.
- (19) “Test Period” means the period of time used to calculate the Average Market Rate. The Test Period shall be each November 1st to the subsequent January 31st, each February 1st to the subsequent April 30th, each May 1st to the subsequent July 31st, and each August 1st to the subsequent October 31st.
- (20) “Transfer(s)(ed)(ing)” means to grant, convey, hand over, assign, sell, exchange, or barter, in any manner or by any means, with or without consideration, any Retail Marijuana or Retail Marijuana Product from one licensee to another licensee or to a consumer. A Transfer includes the movement of Retail Marijuana or Retail Marijuana Product from one licensed premises to another, even if both premises are contiguous, and even if both premises are owned by a single entity or individual or group of individuals.
- (21) “Trim” means any part of a Retail Marijuana Plant other than Bud or Wet Whole Plant. Trim includes “sweet leaf” or “sugar leaf”.
- (22) “Trim Allocated for Extraction” means Trim that is designated for the extraction of Retail Marijuana Concentrate and not for direct sale to consumers.
- (23) “Unaffiliated” means not being owned or controlled by the same or related interests, where “related interests” includes individuals who are related by blood or marriage or entities that are directly or indirectly controlled by an entity or individual or related individuals.

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- (24) “Unprocessed Retail Marijuana” means all Retail Marijuana that is first Transferred by a Retail Marijuana Cultivation Facility to a Retail Marijuana Store or a Retail Marijuana Products Manufacturing Facility, even though it may have gone through some processing, and even though it may be subject to further processing by another licensee.
- (25) “Wet Whole Plant” means a Retail Marijuana Plant that is cut off just above the roots and is not trimmed, dried, or cured. The weight of the Wet Whole Plant includes all bud, leaves, stems, and stalk. The Wet Whole Plant must be weighed within 2 hours of the plant being harvested. The plant must not undergo any further processing prior to being weighed, and tax must be paid on the weight of the entire unprocessed plant.

Rule 39-28.8-201. Retail Marijuana Sales Tax Procedures.

- (1) The Department’s procedures governing Retail Sales Tax described in the rules promulgated under Articles 21 and 26 of Title 39, C.R.S. shall, to the extent not inconsistent with the provisions of Article 28.8 of Title 39, C.R.S. and the rules promulgated pursuant thereto, likewise govern the procedures with respect to the collection, reporting, and remittance of Retail Marijuana Sales Tax.
- (2) Any vendor making sales of Retail Marijuana at a Retail Marijuana Store shall file a Retail Marijuana Sales Tax Return for Retail Marijuana Sales Tax collected.
- (a) The Retail Marijuana Sales Tax Return shall be filed electronically by all such vendors. The remittance of the Retail Marijuana Sales Tax shall be made in accordance with procedures prescribed on the Department’s website or on forms published by the Department.
- (b) If any vendor making sales of Retail Marijuana is unable to file Retail Marijuana Sales Tax Returns electronically, such vendor may apply to the Department for a waiver of electronic filing requirements. The Department may grant such a waiver upon a showing of good cause.

Rule 39-28.8-202. Sales Tax on Retail Marijuana and Retail Marijuana Product.

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Retail Marijuana Sales Tax is imposed on the full purchase price of all Retail Marijuana and Retail Marijuana Product. The sale of any product that contains any amount of Retail Marijuana or any derivative thereof is subject to the Retail Marijuana Sales Tax on the full purchase price of such product.

Rule 39-28.8-301. Retail Marijuana Excise Tax.

Basis and Purpose. The bases for this rule are sections 39-21-112(1), 39-21-113, 39-26-102, 39-26-103, 39-26-105, 39-26-116, 39-26-118(2), 39-28.8-101, 39-28.8-301, 39-28.8-302, 39-28.8-303, 39-28.8-304, 39-28.8-308, 44-10-103, 44-10-202(1)(a), 44-10-502(9.5), 44-10-503, and 44-10-602(13.5), C.R.S. The purpose of this rule is to provide guidance regarding the imposition and calculation of the retail marijuana excise tax; establish rules governing the calculation of the average market rate for purposes of the retail marijuana excise tax; and establish procedures governing the collection, administration, and enforcement of the retail marijuana excise tax.

- (1) **Definitions.** Unless the context otherwise requires, the terms defined by sections 39-28.8-101, and 39-26-102, C.R.S., shall have the same meaning in this rule. As used in this rule, unless the context otherwise requires:
- (a) “Accelerator cultivator” has the same meaning as defined in section 44-10-103(1), C.R.S.
 - (b) “Accelerator-endorsed licensee” has the same meaning as defined in section 44-10-103(2), C.R.S.
 - (c) “Accelerator manufacturer” has the same meaning as defined in section 44-10-103(4), C.R.S.
 - (d) “Accelerator store” has the same meaning as defined in section 44-10-103(4.5), C.R.S.
 - (e) “Adverse weather event” has the same meaning as defined in section 44-10-103(6.5), C.R.S.
 - (f) “Affiliated” means being owned or controlled by the same or related interests, where “related interests” includes individuals who are related by

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blood or marriage or entities that are directly or indirectly controlled by an entity or individual or related individuals.

- (g) “Average market rate” means the amount calculated pursuant to paragraph (4) of this rule for each category of retail marijuana.
- (h) “Bud” means the product of the reproductive state of a retail marijuana plant in which there are physical signs of flower budding out of the nodes of the stem regardless of the product’s size.
- (i) “Bud allocated for extraction” means bud, other than indoor fresh frozen marijuana and outdoor fresh frozen marijuana, that is designated for the extraction of retail marijuana concentrate and not for direct sale to consumers.
- (j) “Category” means a category of unprocessed retail marijuana listed in paragraph (4)(b) of this rule.
- (k) “Control,” “controls,” “controlled,” “controlling,” “controlled by,” and “under common control with” has the same meaning as defined in section 44-10-103(12), C.R.S.
- (l) “Executive Director” means the Executive Director of the Department of Revenue, or the Executive Director’s designee.
- (m) “Fresh frozen marijuana” means retail marijuana that is:
 - (i) Removed from a retail marijuana plant, but is not otherwise trimmed, dried, cured, or processed; except that fan leaves may be removed before weighing and freezing.
 - (ii) Weighed within two hours of the plant being harvested and prior to freezing;
 - (iii) Packaged and frozen within 24 hours of being harvested;
 - (iv) Transferred without being trimmed, dried, cured, or processed at a transfer weight equal to the weight obtained pursuant to paragraph (1)(m)(ii) of this rule; and

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- (iii) Designated for extraction for use in retail marijuana concentrate and not for direct sale to consumers.
- (n) “Genetic material” has the same meaning as defined in section 44-10-103(16.5), C.R.S.
- (o) “Indoor fresh frozen marijuana” means fresh frozen marijuana that is indoor unprocessed retail marijuana classified as such as set forth in paragraph (5)(d)(i) of this rule.
- (p) “Infused pre-rolled marijuana” means retail marijuana intended for consumption by inhalation that was produced by rolling, filling, or stuffing bud, trim, or both with physical separation-based concentrate into paper, leaves, or an equivalent wrapper, to form a joint or blunt. Each joint or blunt constitutes one unit.
- (q) “Inventory tracking system” means the system developed and maintained as required by section 44-10-202(1)(a), C.R.S.
- (r) “Mother plant” means a retail marijuana plant cultivated and used exclusively for the propagation of other retail marijuana plants and not for sale or transfer.
- (s) “Outdoor fresh frozen marijuana” means fresh frozen marijuana that is outdoor unprocessed retail marijuana classified as such as set forth in paragraph (5)(d)(i) of this rule.
- (t) “Physical separation-based concentrate” means retail marijuana that was produced by separating cannabinoids from retail marijuana through the use of physical separation by grinding, sifting, or a similar process and may use water, ice, or dry ice. Physical separation-based concentrate does not include concentrate that was produced by extracting cannabinoids through the use of heat, pressure, or a solvent.
- (u) “Pre-rolled marijuana” means retail marijuana intended for consumption by inhalation that was produced by rolling, filling, or stuffing bud, trim, or both

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into paper, leaves, or an equivalent wrapper, to form a joint or blunt. Each joint or blunt constitutes one unit.

- (v) “Retailer” has the same meaning as defined in section 39-26-102(8), C.R.S., and includes any:
 - (i) Retail marijuana store doing business in this state;
 - (ii) Retail marijuana hospitality and sales business doing business in this state;
 - (iii) Accelerator store doing business in this state; and
 - (iv) Retail marijuana store that is an accelerator-endorsed licensee doing business in this state.
- (w) “Retail marijuana” has the same meaning as defined in section 39-28.8-101(7), C.R.S. “Retail marijuana” does not include genetic material.
- (x) “Retail marijuana business” has the same meaning as defined in section 44-10-103(58), C.R.S.
- (y) “Retail marijuana concentrate” has the same meaning as defined in section 44-10-103(59.5), C.R.S.
- (z) “Retail marijuana cultivation facility” has the same meaning as defined in section 39-28.8-101(8), C.R.S., and includes any accelerator cultivator doing business in this state and any retail marijuana cultivation facility that is an accelerator-endorsed licensee doing business in this state.
- (aa) “Retail marijuana excise tax” or “excise tax” means the excise tax imposed by part 3 of article 28.8 of title 39, C.R.S.
- (bb) “Retail marijuana excise tax return” means the excise tax return upon which all sales or transfers of retail marijuana subject to retail marijuana excise tax, and the amount of retail marijuana excise tax due, is reported.
- (cc) “Retail marijuana hospitality and sales business” has the same meaning as defined in section 44-10-103(60.5), C.R.S.

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- (dd) “Retail marijuana product manufacturing facility” has the same meaning as defined in section 39-28.8-101(10), C.R.S., and includes any accelerator manufacturer doing business in this state and any retail marijuana product manufacturing facility that is an accelerator-endorsed licensee doing business in this state.
- (ee) “Retail marijuana sales tax” means the sales tax imposed by part 2 of article 28.8 of title 39, C.R.S.
- (ff) “Retail marijuana sales tax return” means the sales tax return upon which all sales of retail marijuana and retail marijuana products, and the amount of retail marijuana sales tax due, is reported.
- (gg) “Retail marijuana transporter” has the same meaning as defined in section 44-10-103(65), C.R.S.
- (hh) “Retail sales tax” means the sales tax imposed by part 1 of article 26 of title 39, C.R.S.
- (ii) “Taxable transfer” means the transfer upon which the excise tax is imposed as described in paragraph (2)(a) of this rule.
- (jj) “Test period” means the period of time used to calculate the average market rate. The test periods are each December 1 to the last day of the subsequent February, each March 1 to the subsequent May 31, each June 1 to the subsequent August 31, and each September 1 to the subsequent November 30.
- (kk) “Transfer” means to grant, convey, hand over, assign, sell, exchange, donate, or barter, in any manner or by any means, with or without consideration, any retail marijuana from one licensee to another licensee. A transfer includes the movement of retail marijuana from one licensed premises to another, even if both premises are contiguous, and even if both premises are owned by a single entity or individual or group of individuals.

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- (ll) “Trim” means any part of a retail marijuana plant other than bud and fresh frozen marijuana. “Trim” includes sweet leaf or sugar leaf.
- (mm) “Trim allocated for extraction” means trim that is designated for the extraction of retail marijuana concentrate and not for direct sale to consumers.
- (nn) “Unaffiliated” means not being owned or controlled by the same or related interests, where “related interests” includes individuals who are related by blood or marriage or entities that are directly or indirectly controlled by an entity or individual or related individuals.
- (oo) “Wholesaler” means a person who transfers retail marijuana, retail marijuana products, or both for the purpose of resale or manufacture.
“Wholesaler” includes any retail marijuana cultivation facility and any retail marijuana product manufacturing facility doing business in this state.

(2) Imposition of Tax.

- (a) The excise tax is imposed upon the first transfer of retail marijuana from a retail marijuana cultivation facility to a retail marijuana store or to a retail marijuana product manufacturing facility. The tax is imposed upon the retail marijuana cultivation facility that makes the first transfer to a retail marijuana store or to a retail marijuana product manufacturing facility, even if the retail marijuana was transferred to such retail marijuana cultivation facility from another retail or medical marijuana cultivation facility.
- (b) No excise tax is imposed on the transfer of retail marijuana from one retail marijuana cultivation facility to another retail marijuana cultivation facility. The excise tax is imposed in the manner described in paragraph (2)(a) of this rule on the subsequent transfer of the retail marijuana to a retail marijuana store or a retail marijuana product manufacturing facility.
- (c) No excise tax is imposed on the transfer of medical marijuana to a retail marijuana cultivation facility and the attendant change in designation from

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medical marijuana to retail marijuana in accordance with sections 44-10-502(9.5) and 44-10-602(13.5), C.R.S. In the case of such a transfer, the excise tax is imposed in the manner set forth in paragraph (2)(a) of this rule on the subsequent transfer of the retail marijuana to a retail marijuana store or a retail marijuana product manufacturing facility.

(d) *Exempt Transfers.*

(i) The transfer of retail marijuana to a retail marijuana testing facility exclusively for testing purposes is exempt from retail marijuana excise tax. A transfer is exclusively for testing purposes if the retail marijuana is destroyed by the retail marijuana testing facility during or following the testing.

(ii) The transfer of retail marijuana exclusively for microbial control is exempt from the retail marijuana excise tax. A transfer is exclusively for microbial control if:

(A) The retail marijuana is returned to the transferor after successful decontamination; or

(B) The retail marijuana is properly destroyed by the transferee.

(iii) The transfer of retail marijuana to a medical marijuana cultivation facility, and the attendant change in designation from retail marijuana to medical marijuana, is exempt from retail marijuana excise tax. A transfer and change of designation of retail marijuana to medical marijuana pursuant to this paragraph (2)(d)(iii) is not a transaction that results in a right to refund of any retail marijuana excise tax imposed or paid prior to that transfer and change of designation.

(e) *No Refund in Case of Transfer to Medical Marijuana Products*

Manufacturer. No refund or credit is allowed in the case of a transfer of retail marijuana, upon which the excise tax has been imposed or paid, from a retail marijuana products manufacturer to a medical marijuana

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products manufacturer for purposes of redesignating the retail marijuana product to medical marijuana product in accordance with section 44-10-503, C.R.S.

(3) Calculation of the Excise Tax.

(a) The basis for the retail marijuana excise tax depends on whether the retail marijuana cultivation facility subject to tax pursuant to this rule is affiliated with the retail marijuana business to which the retail marijuana is transferred.

(i) *Transfers From Retail Marijuana Cultivation Facilities to Unaffiliated Retail Marijuana Businesses.*

(A) Except as provided in paragraph (3)(a)(i)(B) of this rule, if a taxable transfer from a retail marijuana cultivation facility is to an unaffiliated retail marijuana store, or unaffiliated retail marijuana product manufacturing facility, the excise tax is calculated based upon the contract price for the retail marijuana transferred.

(B) If a contract price is not established, calculated, or documented at the time of a taxable transfer described in paragraph (3)(a)(i)(A) of this rule, the excise tax is calculated based upon the average market rate for the category of the retail marijuana transferred. Examples of such transfers include the following.

(I) A retail marijuana cultivation facility makes a temporary transfer that is not a sale of retail marijuana to an unaffiliated retail marijuana product manufacturing facility that will process or manufacture the retail marijuana before returning it to the retail marijuana cultivation facility or transfer it to a retail

marijuana store affiliated with the retail marijuana cultivation facility.

- (II) A retail marijuana cultivation facility makes a transfer of retail marijuana to an unaffiliated retail marijuana store for which a price is not established at the time of transfer but instead depends upon the revenue generated from the subsequent sale of the retail marijuana to the end consumer.
- (III) A retail marijuana cultivation facility does not document the established contract price as prescribed by paragraph (3)(c) of this rule.

(ii) *Transfers From Retail Marijuana Cultivation Facilities to Affiliated Retail Marijuana Businesses.*

- (A) Except as provided in paragraph (3)(a)(ii)(B) of this rule, if a taxable transfer from a retail marijuana cultivation facility is to an affiliated retail marijuana store or an affiliated retail marijuana product manufacturing facility, the excise tax is calculated based upon the average market rate for the category of the retail marijuana transferred.
- (B) If the first transfer of retail marijuana is between unaffiliated retail marijuana cultivation facilities, the excise tax imposed upon the subsequent taxable transfer between affiliated retail marijuana businesses is calculated based upon the contract price for the first transfer, provided that:
 - (I) At the time of the first transfer, the retail marijuana had been harvested for sale at a retail marijuana store or for extraction by a retail marijuana product manufacturing facility;

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- (II) The retail marijuana underwent no further cultivation following the first transfer; and
 - (III) A contract price was established at the time of the first transfer.
 - (C) If a contract price was not established or calculated at the time of the first transfer referenced in paragraph (3)(a)(ii)(B) of this rule, and documented as set forth in paragraph (3)(c) of this rule, the excise tax is calculated based upon the applicable average market rate in effect at the time of the taxable transfer.
- (iii) *Transfer and Redesignation of Medical Marijuana.* For purposes of this paragraph (3)(a), a transfer of medical marijuana to a retail marijuana cultivation facility, and the attendant change in designation from medical marijuana to retail marijuana, is disregarded.
- (b) *Average Market Rate.* In the case of retail marijuana excise tax calculated based upon the average market rate, the excise tax is calculated based upon the category of retail marijuana transferred.
 - (i) The retail marijuana excise tax for bud, trim, bud allocated for extraction, trim allocated for extraction, and physical separation-based concentrate is calculated by multiplying the total transfer weight in pounds of the retail marijuana transferred by the applicable average market rate and the applicable excise tax rate. If multiple categories of retail marijuana are included in the transfer, the excise tax is calculated separately for each category; except that:
 - (A) Inconsequential amounts of bud inadvertently included in a transfer that is otherwise trim are treated as trim and not as bud; and

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- (B) The excise tax for pre-rolled marijuana and infused pre-rolled marijuana is calculated pursuant to paragraph (3)(b)(iii) of this rule regardless of whether they contain more than one category of retail marijuana.
 - (ii) *Fresh Frozen Marijuana.* The retail marijuana excise tax for indoor fresh frozen marijuana and outdoor fresh frozen marijuana is calculated by multiplying the total transfer weight in pounds of the fresh frozen marijuana transferred by the applicable average market rate and the applicable excise tax rate. The entire transfer weight of the fresh frozen marijuana is subject to the excise tax because the average market rate for fresh frozen marijuana is based upon the transfer weights for contract price transfers. Therefore, the average market rate reflects any water weight in the total transfer weight.
 - (iii) *Pre-rolled Marijuana.* The retail marijuana excise tax for pre-rolled marijuana and infused pre-rolled marijuana is calculated by multiplying the quantity of units transferred by the applicable average market rate and the applicable excise tax rate.
- (c) *Calculation, Presentment, and Documentation of the Contract Price.*
- (i) In order to calculate the excise tax using a contract price, the retail marijuana cultivation facility making the taxable transfer has the burden of proving the price at which the retail marijuana cultivation facility was legally obligated to transfer the retail marijuana. In the case of a transfer described in paragraph (3)(a)(ii)(B) of this rule, the retail marijuana cultivation facility has the burden of proving the price at which the retail marijuana cultivation facility was legally obligated to purchase the retail marijuana subsequently transferred to an affiliated retail marijuana business.
 - (ii) To meet the burden set forth in paragraph (3)(c)(i) of this rule, the transferor must contemporaneously reduce the invoice price to a

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writing that is, or is part of, the contract between the transferor and the licensed purchaser with respect to the transfer.

(iii) Except as provided in this paragraph (3)(c), the term “invoice price,” as used in the definition of “contract price” in section 39-28.8-101(2.5), C.R.S., includes the aggregate value of all consideration the transferor receives from the transferee with respect to the transfer in whatever form and regardless of the time of receipt.

(iv) The retail marijuana excise tax must be stated separately from the written invoice price to be excluded from the contract price.

(d) *Restrictions on Retail Marijuana Categorized as Fresh Frozen Marijuana.*

(i) To categorize retail marijuana for purposes of the excise tax as indoor fresh frozen marijuana or outdoor fresh frozen marijuana:

(A) A retail marijuana cultivation facility must weigh the retail marijuana within two hours of the retail marijuana plant being harvested and prior to freezing;

(B) Other than removing the retail marijuana from the plant, and removing the fan leaves, the retail marijuana cultivation facility may not trim, dry, cure, or process the retail marijuana prior to weighing and after weighing but prior to transfer. Accordingly, the transfer weight must match the weight obtained within two hours of being harvested. Drying includes any direct or indirect artificial drying such as increasing the ambient temperature of the room;

(C) The retail marijuana cultivation facility must initially weigh, package, and freeze the bud within 24 hours after the plant is harvested; and

(D) The transferee must weigh the fresh frozen marijuana upon receipt, before performing any trimming, drying, curing, or

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other processing, and promptly record the weight in the inventory tracking system.

- (ii) Except as provided in paragraph (3)(d)(iii) of this rule, a retail marijuana cultivation facility must categorize retail marijuana as bud allocated for extraction if:
 - (A) The retail marijuana is not weighed within two hours of being harvested;
 - (B) The retail marijuana is trimmed, dried, cured, or processed—other than removing the bud from the plant—before being weighed or after weighing but prior to transfer;
 - (C) The retail marijuana is not harvested, weighed, packaged, and frozen within the same 24-hour period;
 - (D) The transfer weight differs from the weight obtained when the retail marijuana is harvested; or
 - (E) The retail marijuana cultivation facility does not make or maintain records as prescribed by paragraph (5)(d)(iii)(B) of this rule.
- (iii) Notwithstanding paragraph (3)(d)(ii)(D) of this rule, a retail marijuana cultivation facility may categorize retail marijuana as indoor fresh frozen marijuana or outdoor fresh frozen marijuana if it can show, by clear and convincing evidence, that the difference between the transfer weight and weight obtained when the retail marijuana is harvested is attributable to the removal and discard of unusable retail marijuana from the package prior to transfer.
- (e) *Restriction on Retail Marijuana Categorized for Extraction.*
 - (i) If a retail marijuana cultivation facility categorizes retail marijuana for the purpose of the excise tax as bud allocated for extraction, trim allocated for extraction, indoor fresh frozen marijuana, or outdoor fresh frozen marijuana, a transferee shall not subsequently

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sell or transfer the retail marijuana for direct sale to consumers unless it has first been subjected to extraction.

- (ii) If bud allocated for extraction, trim allocated for extraction, indoor fresh frozen marijuana, or outdoor fresh frozen marijuana is subsequently transferred for direct sale to consumers, and it has not been subjected to extraction, the transferor shall report and pay the resulting excise tax deficiency pursuant to this paragraph (3)(e)(ii).

- (A) The retail marijuana product manufacturing facility shall promptly notify the retail marijuana cultivation facility in writing of the disqualifying sale or transfer for direct sale to consumers.
- (B) The retail marijuana cultivation facility shall amend the retail marijuana excise tax return upon which the excise tax was initially paid, recalculate the excise tax, and add any applicable penalty and interest.
- (C) In the case of bud allocated for extraction or fresh frozen marijuana, the retail marijuana cultivation facility shall recalculate the excise tax based upon the average market rate for bud. In the case of trim allocated for extraction, the retail marijuana cultivation facility shall recalculate the excise tax based upon the average market rate for trim.
- (D) The retail marijuana cultivation facility is liable for the excise tax, penalty, and interest resulting from the disqualifying transfer for direct sale to consumers regardless of whether the retail marijuana product manufacturing facility complies with the notification requirement set forth in paragraph (3)(e)(ii)(A) of this rule.

(4) Average Market Rate Calculation.

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(a) *General Rules.*

- (i) For each calendar quarter, the average market rate for each category of unprocessed retail marijuana listed in paragraph (4)(b) of this rule is the median transfer price of all transfers described in paragraph (4)(a)(ii) of this rule completed and properly recorded in the inventory tracking system during the preceding test period. For example, the average market rates applicable to transfers from January through April are based upon the transfers described in paragraph (4)(a)(ii) of this rule from September through November of the preceding year.
- (ii) Except as otherwise provided in this paragraph (4), for each test period, the calculation of the median transfer price shall include for each category:
 - (A) Every transfer of retail marijuana from a retail marijuana cultivation facility to an unaffiliated retail marijuana store or an unaffiliated retail marijuana product manufacturing facility, provided that a contract price was established at the time of the transfer; and
 - (B) Every transfer of retail marijuana from a retail marijuana cultivation facility to an affiliated retail marijuana store or an affiliated retail marijuana product manufacturing facility if the first transfer of the retail marijuana was between unaffiliated retail marijuana cultivation facilities, provided that:
 - (I) A contract price was established at the time of the transfer between unaffiliated retail marijuana cultivation facilities;
 - (II) The retail marijuana had been harvested for sale at a retail marijuana store or for extraction by a retail marijuana product manufacturing facility; and

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- (III) The retail marijuana underwent no further cultivation following the transfer between unaffiliated retail marijuana cultivation facilities.
- (b) *Average Market Rate Categories.* For each test period, the Executive Director shall calculate the average market rate for each of the following categories of unprocessed retail marijuana:
 - (i) Bud;
 - (ii) Trim;
 - (iii) Bud allocated for extraction;
 - (iv) Trim allocated for extraction;
 - (v) Indoor fresh frozen marijuana;
 - (vi) Outdoor fresh frozen marijuana;
 - (vii) Physical separation-based concentrate;
 - (viii) Pre-rolled marijuana; and
 - (ix) Infused pre-rolled marijuana.
- (c) *Transfer Price.*
 - (i) *Weight-based Rates.* For each transfer of bud, trim, bud allocated for extraction, trim allocated for extraction, indoor fresh frozen marijuana, outdoor fresh frozen marijuana, and physical separation-based concentrate, the Executive Director shall calculate a per-pound transfer price by dividing the contract price by the total weight transferred in pounds. No adjustment is allowed to the transfer price for fresh frozen marijuana on account of any water or other waste weight.
 - (ii) *Quantity-based Rates.* For each transfer of pre-rolled marijuana and infused pre-rolled marijuana, the Executive Director shall

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calculate a unit transfer price by dividing the contract price by the quantity of units transferred.

- (d) Disregarded Transactions. In calculating the average market rate, the Executive Director may disregard any transfer for which the transferor, the transferee, or both did not properly record the transfer in the inventory tracking system. The Executive Director shall not disregard any transfer solely on the basis of the transfer price recorded in the inventory tracking system.
- (e) *Transitional Rules.*
 - (i) Beginning on and after September 1, 2026, for every transfer of indoor fresh frozen marijuana, outdoor fresh frozen marijuana, physical separation-based concentrate, pre-rolled marijuana, and infused pre-rolled marijuana for which the calculation of the excise tax is based upon a contract price, the transferor and transferee shall record those transfers in the inventory tracking system using the fresh frozen marijuana, physical separation-based concentrate, pre-rolled marijuana, and infused pre-rolled marijuana categories, respectively.
 - (A) A retail marijuana cultivation facility may record a transfer pursuant to this paragraph (4)(e)(i) using the indoor fresh frozen marijuana category if the retail marijuana cultivation facility can demonstrate the conditions set forth in paragraphs (1)(m) and (3)(d) of this rule would have been met had this rule been in effect when the retail marijuana plant was harvested.
 - (B) A retail marijuana cultivation facility may record a transfer pursuant to this paragraph (4)(e)(i) using the outdoor fresh frozen marijuana category if the retail marijuana cultivation facility can demonstrate:

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- (I) The retail marijuana plant could have been designated as outdoor unprocessed retail marijuana pursuant to paragraph (5)(d)(i) of this rule had this rule been in effect when the plant reached 24 inches in height; and
 - (II) The conditions set forth in paragraphs (1)(m) and (3)(d) of this rule would have been met had this rule been in effect when the retail marijuana plant was harvested.
- (ii) The Executive Director shall compute the first average market rate for indoor fresh frozen marijuana, outdoor fresh frozen marijuana, physical separation-based concentrate, pre-rolled marijuana, and infused pre-rolled marijuana for the test period from September 1, 2026, through November 30, 2026, using the transfers described in paragraph (4)(a)(ii) of this rule. For any test period ending on or after the effective date of this rule, but prior to September 1, 2026, the Executive Director shall continue to compute the average market rate for the categories, and applying the same methodology, in effect immediately prior to the effective date of this rule.
- (iii) A retail marijuana cultivation facility shall not record a transfer in the inventory tracking system of indoor fresh frozen marijuana, outdoor fresh frozen marijuana, physical separation-based concentrate, pre-rolled marijuana, and infused pre-rolled marijuana for which the calculation of the excise tax is based upon the average market rate using the those categories until the Executive Director establishes the first average market rates under paragraph (4)(e)(ii) of this rule. The retail marijuana cultivation facility shall continue to categorize the unprocessed retail marijuana applying the rules in effect immediately prior to the effective date of this rule. When the

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Executive Director establishes the first average market rates under paragraph (4)(e)(ii) of this rule:

- (A) A retail marijuana cultivation facility may record a transfer occurring after the Executive Director establishes the first average market rates under paragraph (4)(e)(ii) of this rule using the indoor fresh frozen marijuana category if the retail marijuana cultivation facility can demonstrate the conditions set forth in paragraphs (1)(m) and (3)(d) of this rule would have been met had this rule been in effect when the retail marijuana plant was harvested.
- (B) A retail marijuana cultivation facility may record a transfer occurring after the Executive Director establishes the first average market rates under paragraph (4)(e)(ii) of this rule using the outdoor fresh frozen marijuana category if the retail marijuana cultivation facility can demonstrate:
 - (I) The retail marijuana plant could have been designated as outdoor unprocessed retail marijuana pursuant to paragraph (5)(d)(i) of this rule had this rule been in effect when the plant reached 24 inches in height; and
 - (II) The conditions set forth in paragraphs (1)(m) and (3)(d) of this rule would have been met had this rule been in effect when the retail marijuana plant was harvested.
- (5) **Collection, Administration, and Enforcement.** The Executive Director's procedures governing the collection, administration, and enforcement of the retail sales tax as set forth in the rules promulgated under articles 21 and 26 of title 39, C.R.S., shall, to the extent not inconsistent with the provisions of article 28.8 of title 39, C.R.S., and these rules, likewise govern the collection, administration, and enforcement of the retail marijuana excise tax.

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- (a) *Licensing.* In addition to any other licenses required by law, every retail marijuana business doing business in this state and selling at retail or at wholesale must obtain a license pursuant to section 39-26-103, C.R.S., and this rule.
 - (i) *Wholesalers.* Any person selling or transferring exclusively at wholesale shall obtain a wholesale license pursuant to section 39-26-103(8), C.R.S., for each wholesale location.
 - (ii) *Retailers.* Any person selling or transferring retail marijuana at retail shall obtain a retail sales tax license pursuant to section 39-26-103(1), C.R.S., for each retail location.
 - (A) A separate license must be obtained and maintained for each:
 - (I) Medical marijuana store and retail marijuana store operating from a shared location; and
 - (II) Retail marijuana hospitality and sales business and retail food establishment operating from a shared location.
 - (B) A retailer making both retail sales and wholesale sales from the same location need not obtain a separate wholesale license for that location.
 - (iii) *Retail Marijuana Transporter.* A retail marijuana transporter is not required to obtain a license under this paragraph (5)(a).
- (b) *Returns Required.* In addition to any other returns required by law, every retail marijuana cultivation facility shall, on a monthly basis, file a retail marijuana excise tax return and pay any retail marijuana excise tax due.
 - (i) A return is required regardless of whether any retail marijuana excise tax is due.

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- (ii) The return required by this paragraph (5)(b) is separate from the retail sales tax return and the retail marijuana sales tax return.
 - (iii) A separate retail marijuana excise tax return must be filed for each retail marijuana cultivation facility from which retail marijuana is transferred.
- (c) *Recordkeeping Requirements.*
 - (i) In addition to the books, accounts, and records required to be maintained pursuant to section 39-28.8-303, C.R.S., every retail marijuana cultivation facility shall keep and preserve for a period of at least three years such books, accounts, and records as may be necessary to determine the amount of retail marijuana excise tax due.
 - (A) All such books, accounts, and records shall be open for examination at any time by the Executive Director.
 - (B) Should any person neglect or refuse to maintain adequate books, accounts, and records, or to open them for examination in accordance with this rule, the Executive Director shall make an estimate of the retail marijuana excise tax due from such person, based upon the information that may be available, plus penalty and interest as provided in section 39-26-118(2), C.R.S.
 - (ii) Any books, accounts, and records required to be kept in writing pursuant to this rule, including the invoice price described in paragraph (3)(c)(ii) of this rule, must be maintained in a format that may be readily understood by a reasonably prudent business person and may be stored electronically.
 - (iii) A retail marijuana business is deemed to satisfy a requirement to keep certain books, accounts, and records at a licensed place of

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business if such records are stored electronically and may be accessed from the licensed place of business.

(d) *Recordkeeping in the Inventory Tracking System.*

(i) *Growing Conditions.* Before a retail marijuana plant reaches 24 inches in height, the retail marijuana cultivation facility shall designate the plant as indoor unprocessed retail marijuana or outdoor unprocessed retail marijuana and shall record such designation in the inventory tracking system.

(A) If a retail marijuana plant is designated as indoor unprocessed retail marijuana, the retail marijuana cultivation facility may not redesignate it as outdoor unprocessed retail marijuana after the plant reaches 24 inches in height.

(B) If a retail marijuana plant is designated as outdoor unprocessed retail marijuana, the retail marijuana cultivation facility shall redesignate the plant as indoor unprocessed retail marijuana if, at any time after the plant reaches 24 inches in height, but before the plant is harvested, the growing conditions are such that the plant no longer meets the definition of “outdoor unprocessed retail marijuana.” Among other reasons, redesignation is required if the plant is protected from an adverse weather event unless the retail marijuana cultivation facility complied with 1 CCR 212-3, Rule 6-235.

(C) A plant propagated from a mother plant grown indoors may nevertheless be designated as outdoor unprocessed retail marijuana if it is cultivated under qualifying growing conditions from the time it reaches 24 inches in height.

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- (D) If no designation is made before a retail marijuana plant reaches 24 inches in height, the plant is deemed to be indoor unprocessed retail marijuana.
 - (E) Notwithstanding the designation by the retail marijuana cultivation facility of retail marijuana as outdoor unprocessed retail marijuana, the unprocessed retail marijuana must meet the definition of fresh frozen marijuana and be processed and transferred in accordance with paragraphs (3)(d) and (3)(e) of this rule, in order to be categorized as such.
- (ii) *Transfer Details.* Every retail marijuana business licensee who transfers retail marijuana to or receives retail marijuana from another retail marijuana business licensee shall promptly record the transfer in the inventory tracking system in a manner that will allow for the proper calculation of the retail marijuana excise tax and the average market rates. Every transfer entry must include:
 - (A) The license number of the transferor and transferee;
 - (B) The date of the transfer;
 - (C) The category of retail marijuana transferred;
 - (D) The weight or quantity of retail marijuana transferred as set forth in paragraph (5)(d)(iii) of this rule;
 - (E) The contract price as calculated pursuant to paragraph (3)(c) of this rule, but only if the retail marijuana excise tax imposed upon the transfer is based upon the contract price as set forth in paragraph (3)(a) of this rule; and
 - (F) The transfer type as set forth in paragraph (5)(d)(iv) of this rule.
- (iii) *Weight or Quantity Transferred.* Every transferor and transferee shall record the weight or quantity, as applicable, of retail marijuana transferred.

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- (A) For transfers of bud, trim, bud allocated for extraction, trim allocated for extraction, and physical separation-based concentrate, the transferor and transferee shall enter the total weight of the retail marijuana transferred. If multiple categories of retail marijuana are included in the transfer, the weight for each category shall be measured and entered separately; except that:
 - (I) Inconsequential amounts of bud inadvertently included in a transfer that is otherwise trim are treated as trim and not as bud; and
 - (II) Transfers of pre-rolled marijuana and infused pre-rolled marijuana must be recorded pursuant to paragraph (5)(d)(iii)(C) of this rule regardless of whether they contain more than one category of retail marijuana.
- (B) For transfers of indoor fresh frozen marijuana and outdoor fresh frozen marijuana:
 - (I) The transferor shall maintain records of the time the fresh frozen marijuana, identified by its inventory tracking system tag, was harvested and weighed, the weight observed, and the time the fresh frozen marijuana was packaged and frozen. The records must be in writing and created contemporaneously with the harvesting, weighing, packaging, and freezing.
 - (II) The transferor and transferee shall record the total transfer weight of the fresh frozen marijuana transferred. The transferee shall weigh the fresh frozen marijuana upon receipt, before performing any trimming, drying, curing, or other processing, and

promptly record the weight in the inventory tracking system.

- (C) For transfers of pre-rolled marijuana and infused pre-rolled marijuana, the transferor and transferee shall record the quantity of units transferred. The transferor and transferee must not report the weights of the inputs into the respective categories in addition to or in lieu of reporting the quantity of units transferred.

(iv) *Transfer Type.*

- (A) Except as provided in this paragraph (5)(d)(iv), if the transferor and transferee are affiliated retail marijuana businesses, the transfer is classified as an affiliated transfer.
- (B) Except as provided in this paragraph (5)(d)(iv), if the transferor and transferee are unaffiliated retail marijuana businesses, the transfer is classified as an unaffiliated transfer.
- (C) In the case of a transfer described in paragraph (3)(a)(i)(B) of this rule, the transfer is an unaffiliated AMR transfer.
- (D) In the case of a transfer described in paragraph (3)(a)(ii)(B) of this rule, the transfer is an affiliated contract price transfer. The transferor and transferee shall record the contract price as provided in that paragraph.

- (e) *Evidence of Payment of Tax.* Copies of all books and records required to be maintained pursuant to section 39-28.8-303, C.R.S., must be maintained at each retail marijuana store, retail marijuana products manufacturing facility, or retail marijuana cultivation facility for a period of at least three years.
- (f) *Incorporation by Reference.* Rule 6-235 adopted by the Marijuana Enforcement Division pursuant to article 10 of title 44, C.R.S., at 1 CCR

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212-3, in effect as of January 5, 2026, is hereby incorporated by reference. A copy of this rule available online at:
<https://www.sos.state.co.us/CCR/GenerateRulePdf.do?ruleVersionId=12351&fileName=1%20CCR%20212-3>.

Rule 39-28.8-302. Retail Marijuana Excise Tax.

Basis and Purpose. The bases for this rule are §§ 39-21-112(1), 39-28.8-101, 39-28.8-301, 39-28.8-302, and 39-28.8-308, C.R.S. The purpose of this rule is to provide guidance regarding the imposition and calculation of retail marijuana excise tax and the record keeping requirements therefor.

- (1) **Incidence of Tax.** The Excise Tax is imposed upon the Retail Marijuana Cultivation Facility, which shall pay the Excise Tax to the Department on the first Transfer of Retail Marijuana to a Retail Marijuana Store or a Retail Marijuana Product Manufacturing Facility. No Excise Tax is imposed on the Transfer of Retail Marijuana from one Retail Marijuana Cultivation Facility to another Retail Marijuana Cultivation Facility. In the case of such Transfer, the Excise Tax is imposed on the subsequent Transfer of the Retail Marijuana to a Retail Marijuana Store or a Retail Marijuana Product Manufacturing Facility.
- (2) **Exempt Transfers.** The Transfer of Retail Marijuana to a Retail Marijuana Testing Facility for testing purposes is exempt from Retail Marijuana Excise Tax so long as the marijuana is destroyed by the Retail Marijuana Testing Facility during or following the testing.
- (3) **Inventory Tracking System.** When a Transfer is entered into the Inventory Tracking System, all Transfers between Unaffiliated Retail Marijuana business licensees must be entered in a manner that allows the contract price to be recorded in such Inventory Tracking System. The contract price recorded in the Inventory Tracking System must be the actual contract price as described in paragraph (4)(b) of this rule.
- (4) **Calculation and Payment of Tax.**

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- (a) The method for calculating Retail Marijuana Excise Tax depends on the relationship between Retail Marijuana business licensees.
 - (i) Transfers from Retail Marijuana Cultivation Facilities to Unaffiliated Retail Marijuana Stores or Unaffiliated Retail Marijuana Product Manufacturing Facilities.
 - (A) If the first Transfer from a Retail Marijuana Cultivation Facility is to an Unaffiliated Retail Marijuana Store or Unaffiliated Retail Marijuana Product Manufacturing Facility, the Excise Tax is calculated based on the actual contract price, as defined in paragraph (4)(b) of this rule, of the Retail Marijuana Transferred.
 - (B) If no contract price is established at the time of the first Transfer referenced in paragraph (4)(a)(i)(A), the Excise Tax is calculated based on the Average Market Rate of the Retail Marijuana Transferred. Examples of such Transfers include:
 - (I) a temporary Transfer, which does not constitute a sale, of Retail Marijuana from a Retail Marijuana Cultivation Facility to an Unaffiliated Retail Marijuana Product Manufacturing Facility that will process or manufacture the Retail Marijuana before returning it to the Retail Marijuana Cultivation Facility or to a Retail Marijuana Store Affiliated with the Retail Marijuana Cultivation Facility; or
 - (II) a Transfer of Retail Marijuana from a Retail Marijuana Cultivation Facility to an Unaffiliated Retail Marijuana Store for which a price is not established at the time of Transfer, but instead depends upon the revenue generated from the subsequent sale of the Retail Marijuana to the end consumer.

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- (ii) Transfers between Unaffiliated Retail Marijuana Cultivation Facilities of Retail Marijuana Harvested for Sale or for Extraction.
 - (A) If the first Transfer of Retail Marijuana is between Unaffiliated Retail Marijuana Cultivation Facilities, the Excise Tax is calculated based on the contract price, as defined in paragraph (4)(b) of this rule, provided the Retail Marijuana had, at the time of Transfer between Unaffiliated Retail Marijuana Cultivation Facilities, been harvested for sale at a Retail Marijuana Store or for extraction by a Retail Marijuana Product Manufacturing Facility, and underwent no further cultivation following the Transfer between Unaffiliated Retail Marijuana Cultivation Facilities.
 - (B) The Excise Tax calculated pursuant to paragraph (4)(a)(ii)(A) of this rule shall be imposed on the first Transfer of the Retail Marijuana from the Retail Marijuana Cultivation Facility to a Retail Marijuana Store or Retail Marijuana Product Manufacturing Facility.
 - (C) If no contract price is established prior to the first Transfer between Unaffiliated Retail Marijuana Cultivation Facilities, the Excise Tax is calculated on the Average Market Rate at the time of the Transfer. An example of such a transfer includes, but is not limited to:
 - (I) a transfer of Retail Marijuana between Unaffiliated Retail Marijuana Cultivation Facilities for which a price is not established at the time of Transfer, but instead depends on the revenue generated from the subsequent Transfer to a Retail Marijuana Store or Retail Marijuana Product Manufacturing Facility.

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- (iii) Affiliated Retail Marijuana business licensees.
 - (A) Except as provided in paragraph (4)(a)(ii) of this rule, if the first Transfer from a Retail Marijuana Cultivation Facility is to an Affiliated Retail Marijuana Store or an Affiliated Retail Marijuana Product Manufacturing Facility, the Excise Tax is calculated based on the Average Market Rate of the Retail Marijuana Transferred.
- (b) *Contract Price.* The contract price is the invoice price charged by a Retail Marijuana Cultivation Facility to each licensed purchaser for each Transfer of Unprocessed Retail Marijuana, exclusive of any tax that is included in the written invoice price, and exclusive of any discount or other reduction. In the case of multiple invoices reflecting multiple prices for the same transaction, the contract price used to calculate the tax is the highest such price. For the purpose of this paragraph (4)(b), the invoice price charged includes all consideration the seller receives from the buyer in whatever form and regardless of the time of receipt.
- (c) *Calculation of Average Market Rate.* The Department will calculate the Average Market Rate using reported sales of each category during the Test Period. The Department will determine the best methodology to arrive at the Average Market Rate. The Department may, from time to time, change its method of calculating the Average Market Rate if, in the judgment of the Department, such change is necessary to arrive at the most accurate Average Market Rate given the market conditions.
- (d) In the case of Retail Marijuana Excise Tax calculated using Average Market Rate, the Excise Tax shall be calculated based on the category of Retail Marijuana (i.e., Bud, Trim, Immature Plant, Wet Whole Plant, Seed, Bud Allocated for Extraction, or Trim Allocated for Extraction) being Transferred. The provisions of this paragraph (4)(d) apply only to Excise Tax calculated using Average Market Rate.

- (i) For the categories of Bud, Trim, Bud Allocated for Extraction, and Trim Allocated for Extraction, the Excise Tax is computed on the total weight of the Retail Marijuana Transferred. If multiple categories of Retail Marijuana are included in the Transfer, the Excise Tax shall be calculated separately for each category of Retail Marijuana included in the Transfer by separately calculating the total weight of the Retail Marijuana included in each category and multiplying the weight by the Average Market Rate of each category and the applicable Excise Tax rate. Notwithstanding this rule, inconsequential amounts of Bud inadvertently included in a Transfer that is otherwise Trim shall be treated as Trim and not as Bud.
 - (A) Retail Marijuana categorized for the purpose of Excise Tax calculation as Bud Allocated for Extraction or Trim Allocated for Extraction may not be subsequently Transferred for direct sale to consumers unless it has first been subject to extraction as allocated.
 - (B) If Bud Allocated for Extraction or Trim Allocated for Extraction is subsequently Transferred for direct sale to consumers and has not been subjected to extraction, the Retail Marijuana Cultivation Facility shall amend the Retail Marijuana Excise Tax Return upon which the Excise Tax was initially paid in order to recalculate the Excise Tax, and any applicable penalty and interest, using the Average Market Rates for the category of Bud or Trim, respectively.

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- (C) The Retail Marijuana Product Manufacturing Facility shall notify, in writing, the Retail Marijuana Cultivation Facility of any subsequent Transfer of Bud Allocated for Extraction or Trim Allocated for Extraction that has not first been subjected to extraction within seven (7) days of the Transfer by the Retail Marijuana Product Manufacturing Facility. Any failure by a Retail Marijuana Production Manufacturing Facility to notify a Retail Marijuana Cultivation Facility in accordance with this paragraph (4)(d)(i)(C) shall not relieve the Retail Marijuana Cultivation Facility of liability for any additional tax, penalty, and interest due pursuant to paragraph (4)(d)(i)(B) of this rule.
- (ii) The Retail Marijuana Excise Tax for Immature Plants is calculated on the total number of Immature Plants being sold or Transferred.
- (iii) The Retail Marijuana Excise Tax for Wet Whole Plants is calculated on the total weight of the entire Retail Marijuana Wet Whole Plant. The weight of the entire Retail Marijuana Wet Whole Plant is subject to the Excise Tax because the Average Market Rate for Wet Whole Plant already reflects an allowance for water weight and waste. The Wet Whole Plant may not undergo any further processing (i.e., drying the plant and subsequently selling separately the Bud and Trim) prior to being weighed when using the Wet Whole Plant basis. The Wet Whole Plant must be harvested and packaged in the same day.

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- (A) The Retail Marijuana Wet Whole Plant must be weighed within 2 hours of the plant being harvested and without any further processing, including any artificial drying such as increasing the ambient temperature of the room or any other form of drying, curing, or trimming. The Retail Marijuana Excise Tax must be calculated and paid on the total Wet Whole Plant weight. If the Wet Whole Plant is not weighed within 2 hours of being harvested or is subjected to further processing before being weighed, the Excise Tax on such plant cannot be calculated and paid on the Wet Whole Plant basis and must instead be calculated and paid at the Bud and Trim rates.
 - (B) A Retail Marijuana Cultivation Facility that calculates and pays the Excise Tax using the Wet Whole Plant rate must maintain records of the time each Wet Whole Plant (identified by its RFID tag) was harvested and weighed and the weight of each Wet Whole Plant. The records must be in writing and created contemporaneously with the harvesting and weighing.
 - (iv) The Retail Marijuana Excise Tax for seeds is calculated on the total number of seeds being Transferred.
 - (v) The Retail Marijuana Excise Tax for Retail Marijuana Concentrate produced by a Retail Marijuana Cultivation Facility shall be calculated either pursuant to paragraph (4)(d)(i) of this rule based on the weight of Bud Allocated for Extraction and/or Trim Allocated for Extraction used in the extraction or pursuant to paragraph (4)(d)(iii) of this rule based on the weight of Wet Whole Plant(s) used in the extraction.
- (5) **Evidence of Payment of Tax.**

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- (a) Both the Retail Marijuana Cultivation Facility and the first purchaser or transferee shall maintain documentation sufficient to determine the Excise Tax due for the Transfer. Such documentation must include:
 - (i) the name and license number of the Retail Marijuana Cultivation Facility,
 - (ii) the name and license number of first purchaser or transferee,
 - (iii) the category of Retail Marijuana Transferred,
 - (iv) the date of Transfer,
 - (v) the weight or quantity, as applicable, of the Retail Marijuana Transferred, and
 - (vi) the contract price for the Transfer, if applicable.

Cross References

1. See §§ 29-2-114 and 32-1-1004, C.R.S. and the applicable local ordinance or resolution for information about the application of any local excise taxes to Retail Marijuana Transfers.

Rule 39-28.8-303. Books and Records of Retail Marijuana Excise Tax.

Copies of all books and records required to be maintained pursuant to section 39-28.8-303, C.R.S., must be maintained at each Retail Marijuana Store, Retail Marijuana Products Manufacturing Facility, or Retail Marijuana Cultivation Facility for a period of at least four years.

Rule 39-28.8-304. Retail Marijuana Excise Tax Licenses and Returns.

- (1) A Retail Marijuana Cultivation Facility shall file a Retail Marijuana Excise Tax Return monthly reporting the total amount of Retail Marijuana sold or Transferred and the excise tax due thereon.

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- (a) The Retail Marijuana Excise Tax Return shall be filed electronically by all such vendors. The remittance of the Retail Marijuana Excise Tax shall be made in accordance with procedures prescribed on the Department's website or on forms published by the Department.
- (b) If any vendor is unable to file Retail Marijuana Excise Tax Returns electronically, such vendor may apply to the Department for a waiver of electronic filing requirements. The Department may grant such a waiver upon a showing of good cause.

Rule 39-28.8-308. Retail Marijuana Excise Tax Procedures.

The Department's procedures governing Retail Sales Tax described in the rules promulgated under Articles 21 and 26 of Title 39 shall, to the extent not inconsistent with the provisions of Article 28.8 of Title 39, C.R.S. and the rules promulgated pursuant thereto, likewise govern the procedures with respect to the collection, reporting, and remittance of excise tax on Retail Marijuana.

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Editor's Notes**History**

Entire rule emer. rule eff. 12/26/2013.

Rule 39-28.8-304 emer. rule eff. 02/14/2014.

Entire rule emer. rule eff. 04/22/2014.

Entire rule eff. 05/30/2014.

Rules 39-28.8-101, 39-28.8-302, 39-28.8-304 eff. 06/30/2016.

Rules 39-28.8-101, 39-28.8-302 emer. rules eff. 08/08/2017.

Rule 39-28.8-201 eff. 11/01/2017.

Rules 39-28.8-101, 39-28.8-302 emer. rules eff. 11/09/2017.

Rules 39-28.8-101, 39-28.8-302 eff. 01/01/2018.

Regulations 39-28.8-101, 39-28.8-302 emer. rules eff. 12/18/2018.

Regulations 39-28.8-101, 39-28.8-302 eff. 04/14/2019.

Rule 39-28.8-101 eff. 04/30/2021.

Rule 39-28.8-301 emer. rule eff. 08/04/2026.